

Permitting deal faces better odds in lame duck

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Permitting deal faces better odds in lame duck session. Senate negotiators' report that they have reached agreement on a long-stalled permitting deal |||||

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Rules on sourcing Chinese materials will force defense procurement reform

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Section 301 probe of German pharma is likely leverage for pricing negotiations

Permitting deal faces better odds in lame duck session. Senate negotiators' report that they have reached agreement on a long-stalled permitting deal sets up a potential vote in the lame duck session of Congress. Final bill text must be released this week to effectively lock each side into their respective positions to set up a vote.

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The key question will be whether Democrats accept concessions the White House has offered on solar and wind permit approvals to advance the deal; the White House has reportedly offered to speed wind and solar projects stalled under President Donald Trump's administration, though Democrats are demanding clarity on how these could be confirmed in final legislation before signing off on the underlying deal on permitting reforms.

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If an agreement is reached, it would likely come up for a vote in the lame duck session, with passage in the House—which has already passed the related SPEED Act—coming shortly after. A bill that passes both chambers would probably receive Trump's signature, but White House threats to revoke its concessions after the midterms are a word of caution—releasing final bill text this week would, in theory, lock in the terms of the deal.

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Any deal would be constructive for energy and critical-minerals projects in the US; major components would include expedited approval for certain transmission lines and a 150-day statute of limitations on suits brought under the National Environmental Policy Act.

Rules on sourcing Chinese materials will force defense procurement reform. On 20 July, the White House directed the Pentagon to cease procurement of critical minerals and magnets from China, Russia, Iran, and North Korea, with a 1 January deadline. This will be used to force long-term diversification

rather than immediate decoupling.

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The federal government will keep issuing waivers for parts made with Chinese inputs in the near-term; the rule change was meant to set the stage for ensuring better compliance when it becomes more realistic in 2028 and beyond, and will shift the system to one that expects compliance rather than simply tolerating dependence on Chinese sourcing.

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US suppliers will not have alternatives ready by 1 January. China still controls many mineral markets, including roughly 98-99% of gallium supply, and most Chinese content is embedded in processed materials, magnets, electronic components, and alloys sourced several tiers below prime contractors.

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By requesting detailed compliance plans from contractors the Trump administration is pushing them to become a partner in its efforts to invest in domestic mineral manufacturing capacity, as several automakers and technology companies have done. While increased investment will help, it will not eliminate US dependencies.

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For more, please see Rules on Chinese materials to force long-term defense procurement reform , 28 September 2026.

Section 301 probe of German pharma is likely leverage for pricing negotiations. The USTR held a recent hearing as part of its Section 301 investigation, announced in June, into Germany's pricing of innovative pharmaceuticals, a case that sits against the political backdrop of Trump's dissatisfaction over Chancellor Friedrich Merz's stance on the Iran war.

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A negotiated pricing deal—not the imposition of new tariffs—is the clearest near-term objective for the US. Industry witnesses including PhRMA and AbbVie urged USTR to use the Section 301 case to secure higher spending on innovative medicines and changes to rebates and benefit assessments, citing the US-UK pharmaceutical pricing agreement as precedent.

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The evidentiary gap limits the case for immediate action from the US. USTR repeatedly asked for witnesses to quantify how German policies affect US drug prices, R&D, and market access, as a quantitative measure of harm to US companies is a requirement for Section 301 tariffs to be imposed.

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The tariff threat is best read as leverage, with USTR having until June 2027 to decide whether Germany's practices are actionable and what action, if any, to take. The Section 301 mechanism preserves an escalation option for tariffs if pricing talks fail or the broader Trump-Merz relationship worsens.

Quote of the Day

"We all have 'main character syndrome' around here. And the idea that we're going to change the way the public is viewing the party in power at the last moment with a symbolic vote, I think is — I mean, best wishes." - Sen. Brian Schatz (D-HI) on last-minute Senate votes before the midterms. Senate Republican leaders are considering votes on ratepayer protections, among other measures, in an effort to boost the GOP's affordability message before November; critics like Schatz, and even some Senate Republicans, share skepticism that the bills will pass and, even if they do, what impact they will have on

voters.

On the Radar

2 October: Last day Senate is in session before midterms

12-18 October: IMF and World Bank Annual Meetings

30-31 October: G20 Foreign Ministers' meeting

3 November: National midterm elections

18-19 November: APEC leaders meeting in China

11 December: Government funding runs out

14-15 December: G20 summit in Florida

10 January: US-China tariff truce expires

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